BAM 418 SMALL BUSINESS MANAGEMENT

SMALL BUSINESS DEFINED

Entrepreneurs are pivot to small business development. Every year in Nigeria, thousands of small Businesses are launched and survived especially those that were thoroughly planned. However, the question that often bothers people is when is a business a small business? A lot of views have been advanced for example, the American Small Business Administration Agency for the purpose of loan/consultancy services defined small business as a business that is independently owned and operated and not dominant in its field; and must meet the following criteria:

Service industry $8 million annual sales

Retail industry $7.5 million annual sales.

Whole sale $ 22 million annual sales.

Construction $9.5 million annual sales

Manufacturing 1.500 employees (average).

In Nigeria the federal government industrial policy in 1989 defined small scale business as "any business whose total investment is between ten thousand naira (₦10,000) and two million Naira (₦2,000,000) only exclusive of land but including working capital". In 1996 the National Council on Industry defined "Small business as businesses whose total costs inclusive of working capital but excluding cost of land above one million naira (₦1000,000) only but not exceeding forty million Naira a (₦40,000,000) only and having manpower of between 11 – 35 workers. The definition of small-scale business thus varies with the level of economic development of a country and the purpose for which the definition is being made. What might be regarded as a giant company in a less develop country like Nigeria, Chad, Zambia etc might be looked at as a small-scale enterprise in a developed economy like Japan, China and America etc.

However, the common parameter, to consider in defining the status of a business irrespective of the purpose and the circumstance surrounding the definition includes.

i. The capital base of the business.
ii. The total annual sales turnover
iii. The total assets base of the business.
iv. The total labour force (workers)

TYPES OF SMALL-SCALE BUSINESS

Small businesses are found in all activities of an economy. It can be commonly grouped into six large classes:

i. **Service Business**: Small business that are in the service line offers specialized and often technical services to customers and business owners.
ii. **Retail Business**: This category of small business sells products directly to the consumers.
iii. **Whole Sellers**: Small business in this category buys finished products from a manufacturer in large volume who in turn sells them to consumers.

iv. **General Construction**: This type of small business engages in the building of houses, bridges, roads and industrial buildings etc.

v. **Manufacturing**: Small business in this group engages in the conversion of raw materials into finished product. Most of these businesses source their raw materials locally from the area of operation. The finished products of these businesses are also targeted for local market.

THE IMPORTANCE OF SMALL-SCALE BUSINESS

It is not an exaggeration to say that small businesses are pivot to economic development of every nation. Small business constitutes the most important sector that contributes quite significantly in the living standard of the Nigeria populace. Even to the most remote areas of Nigeria you can find small business. These outrageous numbers enable the small business to substantially serve the populace, the government and industries, in Nigeria. The following are some of the importance of small-scale business:

i. **Offer Tremendous Employment Opportunities**: In terms of the engagement of people into productive activities, the small-scale business is second to none in Nigeria. Studies have shown that about 65% of jobs are generated by small scale business. This is backed by the fact that small businesses are easy to be established and managed.

ii. **It Brings out New Product and Services**: Another important way small business contributes to economic growth is by fostering innovation. The products and services provided by small businesses are quite significant and closer to the people (customers). Small business brings about comfort and convenience to the people. E.g. recreation centres, restaurant, car wash, and petty-shop etc.

iii. **Sources of New Innovation and Raw Ideas**: Another important significance of small business is that, it is the vehicle through which new ideas and product made their ways to the consuming public. It is needless to mention that without this new ideas and product being developed continuously, there will never be economic development.

i. **Sources of Raw Materials/Market**: It is pertinent to appreciate the fact that most large firms were small business but grew overtime. Besides providing product and services and new job small business fill an important role in the operation of large corporations. General motors, for example, buys goods from more than 32,000 small companies, the weavers, who reweave finished garments with minutes flows so that they can be sold at first-quality goods. A small retail shop also sells the product of the giant corporation. Large and small businesses are in many cases interdependent, with each needing the other either as sources of raw material or market.

ii. **Source of Training for Entrepreneurs**: Considering the diversity of the spread of the activities of small businesses. It serves as an avenue for creation of budding entrepreneurs who can propel the economic activities of a country.

iii. **Sources of Income/Capital**: Small scale business contributes quite significantly to the goods and services being produced in a country. Managers/operators of small business generate their income through drawing of salaries and wages for effort they are putting.

Equally the owners (shareholders) receive dividend out of the profit accrued to the business as return on the capital which they supplied to the business. Equally, the government also generates income from small business through the levy of Tax.

iv. **Control Rural-Urban drift**: - Given a favourable environment, entrepreneurs will prefer to set up small business in the rural areas to get cheat labour. Most small business gets their raw materials and market at the rural areas. This proximity to market and raw materials now encourages small business operators to invest in the rural areas thereby reducing rural-urban migration.

PROBLEMS OF SMALL-SCALE BUSINESS

In a study of 107 small scale businesses in the north east Nigeria, the following were revealed as factors militating against rapid small business development.

i. **Lack of Management Experience**: - Response from the above studies shows that the majority of the entrepreneurs in manufacturing and service industry identify management experience as their major handicaps. Business success connot the ability to carry out effectively such management functions as planning, organizing, leading, directing and controlling. Success in management requires the organization to anticipate changes continuously and to search for new combinations of activities that generate synergistic benefits to withstand aggressive competitors. The importance of management skill increases as businesses operators in Nigeria lack the expertise and does not have enough resources (Capital) to hire qualified personnel. A person may be good at business start-up phase, but may not be able to delegate work well or may have problems figuring out how to expand the business in more product lines.

ii. **Lack of Spare Parts/Raw materials**:- Another major problem facing the small business operators is that of spare parts; either, the parts does not arrive on time or when it eventually arrive, part of the parts will be missing and in most cases, they may be no qualified person to mount or fix the parts. Most computer business centre in Nigeria is filled up with scrap of computers and photocopiers; simply some parts cannot locally find. Also, some raw materials used by small business are not locally obtained which often lead to unnecessary delays in operation and higher operational cost.

iii. **Stiff Competition**: - Small business in the service of retail business were particularly worried about competition (foreign and domestics). In most cases, where capitalization requirement is low, competition is very high because of ease of entry in to the business. Also, many of the competitors do not adhere to any acceptable code of business ethics.

iv. **Inadequate Working Capital**: - Most small businesses are operating at a small scale continuously, simply, because of inadequate capital to expand. A small business operator may develop brilliant ideas which are important to the growth of the business, but have no access, to finance. This inadequate finance (Capital) makes it difficult for small business operators to acquire genuine plants and machineries and update equipment's. This often results to the use of obsolete equipment/machines which finally affect the quality of the finished product.

v. **Poor Record Keeping**: - Business past record provides vital information to the small business operators in the planning and decision-making function. Most small business is carried out without keeping records of sales, purchases and other overheads; mostly because of unqualified personnel. Record keeping books such as sales books, account receivable and stock of inventory register are very important to be maintained because they regulate cash inflows and outflows in the business.

vi. **Indiscipline Towards Business Ethics**: - The desire for independence often make some small business operators to develop indiscipline towards business ethics. Some of the proprietor indiscriminately expends the business money on social activities such as marriage party, community launching and recreations etc. These types of spending do not yield income to the business rather it only erodes the business capital. Equally, to some entrepreneurs they are the boss of themselves and can come to work and leave the time they deserve. They waste most of the business time to none business activities thereby leaving a lot of operations unexecuted.

vii. **Poor Infrastructural Facilities**: - Inadequacy and, or absence of infrastructure such as electricity, communication facilities, good means of transportation, often stand as an impediment to business growth and profitability. Most small business especially those located in the remote areas suffers high operational cost because of poor road and power supply. Consequently, it affects the business market share.

THE ROLE OF GOVERNMENT IN SMALL BUSINESS DEVELOPMENT

There is no doubt that small scale business contributes quite significantly to the economic development and growth, as more than 50% of daily needs goods/services are provided by small scale business, in terms of employment and income generation for the citizen the small business is second to none. Because of this importance attached to small scale business, the government at various levels (federal, state and local) expended efforts and resources to ensure the rapid spread and development via programs such, as development loans Board which was later change to Federal Loans Board.

During the colonial period, government incentives towards the development of, business were on the maintenance of law and order and the provision of infrastructure for easy evacuation of raw materials for the colonial master. Due to lack of technical and managerial skills among Nigerians to operate viable business especially during pre-independence, government policy were directed towards inducing foreign investors to establish in Nigeria (Eno, 1974). The government first effort to promote small and mediums scale enterprises come in the early 50s with the creation of the colony development loans Board. It was providing revolving loan fund for industry which come as part of the technical assistance from U.K. for the small-scale industries credit scheme (SSICS). The SSICS relied on matching grant from the Federal and State government for onward disbursement (Lending) to small scale entrepreneurs.

In 1952 the Aid to pioneer industries ordinance was enacted to boost the activities of budding entrepreneurs between 1957 and 1959 a lot of ordinance were passed to regulate tax and import duties among the ordinance include:

- Industrial Development (Import duties relief) act 1957
- Industrial Development (Income Tax Relief) Act 1958.
- Custom Duties (Dumped and Subsidized goods) act 1958.
- Companies Income Tax (Accelerated Depreciation).

However, the above regulations were made to preserve and protect market for Nigerian industries against unhealthy competition by the foreign investors.

In the second national development plan, the Federal Government injected N5.4 million to small scale business to increase the indigenous ownership and participation in manufacturing. The SSICS was supported by the second National Development plan as a major source of investment funds. The objectives of the SSICS are the increasing of indigenous ownership and control of enterprises. It was also aimed at training a pool of entrepreneur who will better the economy to success.

Another government contribution to small business development is the increased agricultural production incentive scheme. The scheme provides that enterprise engaged in agricultural production and processing enjoy a five year tax holiday. Incomes earned from loans to agricultural enterprises are exempted from tax. While agricultural enterprises are given capital allowance for tax purposes (Eno, 1974)

The establishment of Industrial Development Centres has contributed in increasing the number domestic investors. On inception there were three centres: Zaria, Owerri and Oshogbo and now in all states of the federation. The objectives of the Industrial Development centres as provided by Peter (1989) include

- Provision of Industrial Extension services to Nigerian entrepreneurs in the areas of production planning and control, marketing of products, and general management of the enterprise.
- Technical advise and assistance on the selection of the right types of machinery and equipments, installation and operation of machinery, maintenance and repairs of the machineries.
- Training of entrepreneurs and their staffs.
- Technical appraisal of loans under the small scale industries credit schemes.

Other government contributions to small business development include; the establishment institutions such as administrative staff college of Nigeria. (ASCON), Centre for Industrial Research and Development (CIRD), Industrial Training Funds and Student Work Industrial Experience Scheme (SIWES) etc. These institutions were established to give training for existing and potential entrepreneurs who are willing to take up investment in various sectors of the economy.

In addition to the training institutions also the government established some financial institutions e.g, the bank of Agriculture to provide financing to the small-scale business operators. Other programmes such as the National Directorate of employment directed towards the provision of business skills and financing. The better life and the family Economic Advancement Program were to transform the rural dwellers to employment generation activities. Other government initiative such as the youth employment scheme (YES), the National Economic Empowerment Development Strategies (NEEDS) Poverty alleviation program (PAP) were all directed at developing people with creative minds so as to generate employment opportunities. Institutions of higher learning in Nigeria were also required to mount Entrepreneurship development course such as E.E.D. 126 and E.E.D. 216 for National Diploma's while EED 413 for Higher National Diploma for all programmes of Study.

The success of these incentive programmes depends so much on implementation. All these policies and programmes meant to transform the economy in to self-reliant, and capable of generating a self-sustaining growth as well as meaningful investment in International.

OWNERSHIP IN BUSINESS

The nature of a business a person finds himself/herself in, depends on his reason for going in to business. Several reasons are provided as why people prefer to run their own instead of being employed by others or government. Some reason why people decide to own their business is reaction to circumstances such as inability to secure employment after graduation, frustration in place of work such as inability to get promoted, not getting ideas or inventions adopted. Other reasons may be the desire for independence or to make quick money: some people prefer to be a big fish in a pond than to be a shark in the ocean. By being independent, they desire fun in the independent decision making and achievements.

To most people, money making seems to be the ultimate goal as to why entrepreneurs are in business. This is not often so, because statistics has shown that those whose driving force of going into the business with a view to make quick money stand the chance of failing especially if greater care is not taken in drawing the business plan.

Business can be owned in any of the three ways:

i. Buying and existing business.
ii. Inheriting a business.
iii. Starting a new venture.

BUYING AN EXISTING BUSINESS

Business can be acquired through acquisition. In buying an existing business necessary care is required not to buy a business that has lost goodwill completely. The business to be purchased need to be properly analyze by financial experts. Various ratio analyses need to be done on information from the Balance Sheets. In analysing a business for sale, it is necessary to explore the reason why the business is to be sold. Areas of analysis to the business proprietor when buying an existing business according to Ogedengbe (2007) includes:

- The worth of both current and fixed assets of the business.
- It's total liabilities to networth.
- The business profitability (Past and projected)
- It present market share.
- Number of employees and their experience
- The nature of the business environment.

Buying an existing business has some advantages among, which includes:

i. The record of the business reveals whether it has rewarded the owner of his effort.
ii. Its profit potential can be ascertained more correctly.
iii. A major uncertainty is eliminated by the existence of established customers.
iv. There are no registration and other pre-operational expenses to be incurred.
v. There is already an established link with bankers, lawyers and suppliers.

DISADVANTAGE OF BUYING AN EXISTING BUSINESS

i. A business bought at a wrong time, wrong price and wrong location are bound to give heavy loses.

INHERITING A BUSINESS

Operating an inherited business is similar to purchasing an existing business. The difference lies in the fact that the heirs do not pay a price for the business and no pre-evaluation of the business potentials before taking over. The death of a relation such as father, mother or an uncle may result in transferring the ownership of the business to an individual with or without his preparation for it. (Ogedengbe, 2007).

ADVANTAGES OF INHERITING A BUSINESS

i. The person inheriting the business does not pay for it.
ii. There is no special requirement for taking over.

DISADVANTAGES OF INHERITING A BUSINESS

i. One major disadvantage of inheriting a business is that the heir(s) may not have the technical/managerial know how to run the business profitably.
ii. Conflict of interest may arise among the members of the family which may adversely affect the survival of the business.

STARTING A NEW VENTURE

Starting a new business from seratch caries a greater risk as compared with buying or inheriting an existing business. However, if adequate preparations are made and the owner (proprietor) is resourceful, the business could prosper and grow to giant. In the preparation period, the proprietor can select a good location, good product line(s), right supplier and bankers and above all appropriate market segment to satisfy.

ADVANTAGES

i. A proper location can be selected that can provide proximity to sources of raw materials and market.
ii. SWOT analysis can be conducted to explore all available opportunities and convert threats to opportunity.
iii. It provides avenue for personal readiness to avoid investment blunders.

DISADVANTAGES

The outcome of the new business is always associated with uncertainly. The proprietor may lack the managerial skills to implement the investment plan effectively resulting to an investment failure.

The envisage product to produce may not be appealing to the target market.

STARTING A BUSINESS

Starting a business entails the determination of the tasks necessary to achieve the desired goal. Starting a business be it small or giant require adequate preparation to stand the chance of success. Adequate plan has to be made on the business idea so identified as well as the personal readiness of the proprietor. Other factors especially relating to the environment that can have a great impact on the market performance of the business need to be taken into cognizance when deciding to start a business.

BUSINESS CHECKLIST:

Business checklist refers to the assessment of the personal readiness of a business proprietor to start and manage a business entity profitably. Issues of analysis in the checklist are;-

- What is the aim of the business?
- Are you aware of your family support?
- Are you ready for hard work and long hours?
- Have you considered getting experience in the business proposed?
- Do you really need someone to work for you?
- Do you have good human relation?
- Have you identified your financial needs and sources of financing?
- Can you maintain good record keeping?
- Are you aware of the risk involved as well as opportunities associated with the business?
- Have you sought for professional advice e.g. accountant lawyers etc?
- Are you complying with the laws concerning business premises and trading?
- Have you considered patent, copyright and trademark?
- Have you looked in to your market potentials?
- Have you identified who your competitors are?
- Will your product be packaged distinctly and have a better performance than what your competitors offer?
- Have you thought out your ideas thoroughly enough to ascertain the chances of success?
- Have you taken expenses in the account before pricing your product/service?
- Have you considered the projected costs and revenues relationship of the business?

A critical examination of the above list will assist the proprietor in drawing a good business plan.

CHOOSING A BUSINESS ENTERPRISE

Ben (2007) provides the following as factors affecting the choice of a business.

i. Available capital.
ii. Nature and the size of market.
iii. Raw materials availability.
iv. Technology.
v. Infrastructure.
vi. Skills and ability of the proprietor.
vii. Personal attributes of the owner.
viii. Level of risk and profit.
ix. Government policies and laws.

INVESTMENT OPPORTUNITIES:-

The oxford Advance learner Dictionary defines investment as the act of giving time or effort to a particular task in order to make it successful. The major focus of an investment is to make a profit. An investment means spending money on a particular activity with a view to make a profit gain. An investment opportunity is an attractive idea or proposition that provides the possibility of return for the investor or the person taking the risk (Ahmed, 2009). Investment opportunity therefore represents the needs and wants of existing as well as potential consumers and which the investor has the resources and skills to satisfy. A retail shop in a new housing layout, stand as an investment opportunity. For an investment to be an opportunity, the needs and wants must be large enough to provide adequate returns to the proprietors. Thus, there is no need to establish a machine workshop where probably few households reside. In sparsely residential area even if all the families own cars, the numbers that will be attending the workshop will be few that cannot guarantee enough income to the workshop operator and consequently, the business will turn to be a question mark (?) business.

Investment opportunities are therefore, those needs and wants that are found in the environment; and which the existing entrepreneurs have the potentials to provides. The tasks before the entrepreneurs are to be able to identify those large needs by critically studying the environment.

Three criteria are considered in determining an investment opportunity:

i. It must be present unsatisfied needs and wants of the existing and potential consumers.
ii. The needs and wants must be large enough to guarantee sufficient revenue and profit.
iii. The entrepreneur (Proprietor) has the capacity and potentials to provide those needs and wants.

However, apart from assessing the number of potential (target) customers for the proposed investment there is also the need for the proprietor to understand the nitty-gritty of the project as that determines success or failure.

IDENTIFICATION OF AN INVESTMENT OPPORTUNITY

Investment opportunities are found in the environment. Investment opportunity is an action that provides the desired rate of return for the effort so employed. However because of the dynamism and complexity of the environment, investment opportunities need to be assessed and screen to determine how viable it can be in terms of risk and market potential. Investment opportunity as the presentation of customers' requirement leading to the production of goods or services that gives value to the users.

In identifying an investment opportunities the investor (proprietor) need to scan the environment and in that process his finding should reflect the following:-

i. Present unsatisfied needs and wants of consumers.
ii. Large needs.
iii. Capacity of the entrepreneur.

PRESENT UNSATIFIED NEEDS AND WANT OF CONSUMERS

The challenges before successful entrepreneur are to be able to identify the gaps existing in the market and to be able to fill them by turning them into business opportunities. These unsatisfied needs and wants of consumers found in the society need to be studied with utmost care, otherwise it may prove to be costly mistake; especially when the product is launched and does not appeal to the consumers. For investment to stand as an opportunity there must be needs and wants of people which are not presently being meet. Sometimes it is not difficult to identify these needs, example; it is not difficult to recognize the need for a mini shopping complex for a student village where daily shopping s of basic needs can be made. The proximity to the shopping complex will save time and cost of transportation to the consumer.

LARGE NEEDS

An investment opportunity requires that the needs should be large enough to guarantee return to the investment. For the needs to be assessed, it required the market share analysis to determine the aggregate demand for the proposed product/services. In determining who the potential customers are, the market can be segmented based on: Geographic scope, age, sex and demographic. To understand who the customer are will require information on consumption pattern or consumer behaviour, production possibilities and constraints as well as present and past supply position.

CAPACITY OF THE ENTREPRENEUR

In the event that the entrepreneur has found the needs and wants to be large enough to guarantee his/her desired return (profit), the next thing is for the entrepreneur to weigh himself/herself to determine his personal ability to provide those needs. The investor need to assess the possibility of possessing the basic skills necessary to start, develop finance and market the business enterprise. It will not be wise for an entrepreneur to establish a business venture which he/she has no knowledge about. Apart from the personal readiness and ability of the proprietor there is also the need for the consideration of available resources viz. finances, personnel and infrastructures, such as power supply. Enough money is required to keep operation going: to buy the right plants and raw materials and to hire personnel. However, if the proprietors lack the experience in the proposed business, can he hire an experience person in the business line to manage the business? In addition, the investors need to consider his/her ability to synthesize information sourced from the environment.

BUSINESS PLANNING

Planning is one of the major managerial function and it is concern with how organization (profit or nonprofit) is to be positively positioned in the future. The entrepreneur needs to understand business planning as it will enable his business to be competitively position in the environment. Planning makes the difference between success and failure. Planning involves setting goals and determining the path to achieving them. It helps to clarify objectives. Planning determine what is expected to be accomplished. How it should be accomplished when it should be accomplished and why it should be accomplished. For example a business experiencing declining sales has the danger of bankruptcy and hence should plan to change the trend. To revert the trend of the declining sales the firm must involve in planning by identifying what actions to undertake to improve the sales performance

BUSINESS PLAN

The best way to minimize the risk involved in starting a business is to prepare thoroughly. This requires a production of a detailed business plan. Planning of a new business start is not easy. For example, profit is determined of by sales performance and to predict it is not easy. Business plan is a written document that serves as a road map to the entrepreneur journey from startup to project implementation. (Hamitle Consult, 2008). A business plan is a blue print of a business intention that integrate all the functional areas of the business which includes; the sourcing of finance, personnel, how production is to take place and what is to be produced, and how marketing functions are to be carried out. Business plan assist proprietors to crystallize their thinking on what they must do to launch their business successfully. In this process the proprietors develop their business on paper before investing time and money. The financial projections will assist in minimizing risk. A business plan can take any form, but must contain the following elements:-

1 A description of the product or service to be provided with unique featuresthat will look appealing to the target customer.

2 The nature and size of the target market which is intended to be served.

3 A well designed strategies for launching the product in the market that will allow rapid penetration.

4 A plan for a location lay out of operating facilities; this includes the source of raw materials and spare parts.

1. Basic financial projections which will include expected costs and revenue as well as balance sheets.

THE NEED FOR BUSINESS PLAN

As earlier stated, business plan serves as a road map for the proprietor in determining what he/she intends to do and how it can be accomplished. Business plan provide the following benefits. (Hamitle Consult, 2008)

1 It helps the entrepreneur to decide where he wants to go.
2 It helps him to determine the viability of the venture.
3 It provides guidance to the entrepreneur in planning realistic goals and targets, in organizing and even in identifying possible road blocks.
4 It is a pre-requisite to obtaining finance.

COMMON MISTAKES IN DRAWING A BUSINESS PLAN

Aminu (2009) identify the following as common mistakes in developing a business plan. PLAN

i. Incomplete financial plan.
ii. Over ambitious projections.
iii. Leaving something out.
iv. Incorrect format.
v. Poor understanding of marketing.
vi. In ability to sell your plan.

Incomplete financial plan Incomplete financial plan often occur where figures looks ambiguous that the professional or practicing accountant will find it difficult to understand and interpret.

In most cases expected profit from the projected financial plans are over stated and in most case become infeasible especially during the early period of operation.

A business plan needs to be comprehensive enough to cover all aspect of the business component. In some cases, such plan tends to exclude a component or more which the financiers or the customers are willing to know e.g. the nature of shares contribution.

Proper structuring of a business plan need to be carefully adhered to. In ability of the business planner to adhere to the correct format of the plan presentation quickly discloses the in experience of the proprietor to the stake holders, thus discourages potential investors for partaking in the business.

Of crucial importance to the business proprietor is to be able to understand who the customer are and how they do they buy. To success therefore, the investor need to understand what to offer to the market that will look appealing remember, the popular slogan "customers are always right".

It will be better for you to get your business plan design by a professional, e.g. an accountant a business manager or consultant etc. having gotten a well developed business plan, there is also the need for full understanding of all the aspect of the business plan for further explanation to the stakeholders of the business (e.g. Bankers, suppliers, customers and government etc).

AN OUTLINE OF A BUSINESS PLAN

1. Introductory Page
   - (a) Name and address of business
   - (b) Name(s) and address of principals
   - (c) Nature of business
   - (d) Statement of financing needed
2. Executive Summary
   - (a) Description of the product/service
   - (b) Business strategy
   - (c) Summary of sources of financing (bankers) Equity holders)
   - (d) Management team
3. Industry Analysis
   - (a) Future outlook and trends
   - (b) Analysis of competitors
   - (c) Market segmentation
4. Description of Venture
   - (a) Product(s)
   - (b) Services(s)
   - (c) Size of business
   - (d) Manufacturing process.
5. Business Structure.
   - (a) physical plant/machinery
   - (b) Business Location
   - (c) Sources of raw materials/suppliers
   - (d) Method of distribution
6. Marketing/sales
   - (a) Sales and profit forecast
   - (b) Target customer
   - (c) Analysis of future outlook
   - (d) Advertising and promotions.
7. Staffing.
   - (a) Technical expertise required
   - (b) Skilled/unskilled required
   - (c) Financial commitment.
   - (d) Training and development policies.
8. Financial Plans
   - (a) Startup budget
   - (b) Breakeven analysis
   - (c) Cost of staffing

(d) Cost of plants/equipment
(e) Expected revenue.

9. Appendix.
(a) Projected profit/Loss account for five years
(b) Projected Balance sheet
(c) Projected sources and application of funds.
(d) Sales charts and graphs.

THE FUNCTIONAL AREAS OF BUSINESS

For any business to survive and give returns to the stakeholders, the manager must perform functions. The functional area of business are the activities that involves acquiring and utilizing resources with a view to provides useful goods and services which can satisfy customer needs. The managers are involved in making decisions relating to human materials and money.

Managing a business requires a great degree of knowledge to personnel management, financial management and material management. The personnel manager should be able to organize the workforce to be productive, be able to motivate the workforce so that they can put in their best services in the organization. The manager of a business should also be able to develop keep and maintain accounting records so that records can be obtained when the need arises. He should also be somebody that can managed wasteful operation. Specific functional areas of business includes:-

a) Production function.
b) Marketing function.
c) Personnel function.
d) Finance function.

Marketing Function:

Market: A market is any arrangement that makes it possible for buyers and sellers to come into contact for the purpose of exchange. Thus it is a meeting point for exchange of goods and services.

Marketing is a system of business activities designed to plan, price, promote and place something on value that is want satisfying goals and services to the benefits of the present potential consumers (Stanton, 1981).

Marketing is an activity, a whole process of coordinating a range of related activities to satisfy consumer needs at a fair profit, as provided by Stanton (1981). It involves developing a strategy to coordinate and plan ways of identifying, anticipating and satisfying consumer demand in such a way as to make profit David and Robert (1990).

The Marketing Mix

The marketing mix often refers to as the "4 P's" (is Product, Price, Place and Promotion). The entrepreneur must integrate the 4P's in his function to get the finished goods or services to the end user. Marketing mix can be expressed as those decisions taken by a firm from time to time on the operations of its market activities (Ibrahim 2003). To meet consumers need, the entrepreneur must produce a product, change a right price worth the value, get the goods at the right place and time, and must make the existence of the product known to the consumers through promotions.

i. **Product**: A product can be seen as set of tangible and intangible attribute which include colour design, packaging etc that provide utility to the consumers. people buy goods and services for a variety of reasons, such as getting a specific function, having an appealing appearance for the function which it perform and giving a status look to the person buying. In buying a car for example, the buyer has in mind the required functions to be provided by the car as well as the appearance and status look. Therefore, the challenge before the entrepreneur is to be able to develop and market a product that will look appealing to the existing and potential consumers.

ii. **Price**: Price is "relative net worth for a product value offered to the market" The entrepreneur is packing his product to back it with a good price. A good price is that price that worth the value of the product or services. However the price which a firm changes determine quite significantly, the value of sales price setting need to be constantly related to circumstance. Launching a product for example need to back with strategies.

iii. **Place**: The cost of getting the finished goods or services to the end user constitutes major cost of marketing. The entrepreneur is not just conscious of making the product or services popular in the market, but also to ensure that the product reach the target market through effective distribution channels. The entrepreneur needs to select an appropriate distribution channel that can facilitate the product reaching the target consumers. A woman producing locally soft drink "sobo" need no middlemen, rather should interact directly with the consumers. This will provide her with the advantage of time saving and access to first-hand information (complains and suggestion). Unlike an Automobile industry, FORD MOTORS for example requires a long chain of distribution to facilitate the movement of the car from the factory level to the target market across national territories.

iv. **Promotion**: To facilitate more sales of a product or services, the entrepreneur has to create awareness on the existence of a product and the function which it provide. A good product or service may be created but may be left un-patronized unless the target consumers are informed. Poly bread is quality bread produced by the Food Technology Department of the Federal polytechnic Mubi. On inspection the product did not record any good patronage not until it is promoted and now, the product tends to be obtained through booking. Today, advertisement and personal selling constitute a major component of operational costs of manufacturing companies. Therefore, the entrepreneur needs to select a very effect medium through which product/service awareness can be made.

MARKETING STRATEGIES

An analysis of the environmental levels helps the entrepreneur to determine whether the set objectives are realistic or not. Effective achieving of objectives depends on how best the entrepreneur is able to develop it's marketing strategies. Marketing strategies tell the entrepreneur how to arrive at objectives. William et al (2004) viewed marketing strategies as consist of selecting a target market and developing a marketing mix to satisfy the market needs. A target market in this context refers to a group of consumers or organizations with whom a firm wants to create marketing exchange. However, marketing mix is the overall marketing offer that will look appealing to the target market. It involves decisions regarding what product or service to produce for exchange, what to charge as a relative worth of what is to be offered; how to inform the target market regarding the existence of the product or service and its related functions and how to move the product or service to the target marketing via an effective distribution channels.

Regardless of an enterprise specific strategy, a number of marketing activities must be performed to move the finished product from the factory floor to the end users. How fast the product is able to reach the target consumers depends on how effective the entrepreneur is able to develop and implement the marketing mix (4P's). The table below shows the activities that are undertaken in the strategic marketing function.

Marketing strategy focuses on identifying market opportunities and responding to these opportunities by developing and executing effective policies so that consumers' needs are met at a good profit.

PRICING

The practice of product/service pricing has changed dramatically in recent years. This is more applicable to developing countries such as African countries, Asian and India, where such economics are characterized by high level of inflation. Because of the unstable nature in the prices of imputes and other service the entrepreneur is faced with the challenges of frequent pricing decisions and most often under pressure.

TECHNIQUES OF PRICING

An entrepreneur dealing in merchandising for instance may adopt the mark up pricing techniques. Markup is the difference between the cost price of an item and selling price. It is often expressed in a form of percentage. E.g. if the cost of 400g of peak milk instant N500 and is sold at N750 the markup is N250. The markup percentage is 33% of the selling price.

Another approach to determining pricing is the target return pricing. A business must have target revenue that determines the desired profit. In the target pricing method, the firm determines the price that can generate the desired return on investment.

FACTORS TO CONSIDER IN DETERMING PRICE

Price determines the value of sales to be generated by a business. Consumers are price sensitive; therefore care need to be taken when fixing a base price for commodity/services. Consumers are not willing to pay much for goods that have related low worth value. The factors to consider in setting a base price (which is a unit price for a commodity excluding discount and allowance) are as follows:

(a) **The Attributes of the Product**:- The component that constitutes the product physical look and functions.

(b) **The Mode of Promotion when Launching the product**:- launching a product using a high price or low price base rate, and that will also supported with respective promotional strategies.

(c) **The Channels of Distribution Used for moving the Product from the factory level to the end user**:- For example a company using agent, wholesaler and retailer will have a different base price from a company that sales directly to the retailers or consumers.

(d) **The Volume of Demand for a Product/Services**:- The high or the volume of demand for a product gives room for the proprietor to set a high base price and vice-versa . The marketer in this regard needs to estimate the consumers' demand of the product so that consumers can consciously or unconsciously patronize.

(e) **The Price charge by Competitors**:- The price charge by supplier of a close substitute products need to be taking in to consideration when setting a base price. If a firm decides to set a high price for a product with close substitute means that the firm stands the chance of loosing customer to the firm that offers low price for its product.

(f) **Government Control**:- The government through it's price control measure can introduce ceilings, especially on interest rates, exchange rate value and price control rate etc.

PRODUCTION FUNCTION

Before embarking on production, the marketer (proprietor) is required to clearly define the objective and scope of operation of the business. Objective needs to be clear and realistic. Business objective can be the desire to produce a particular goods or service to satisfy a target market. While objective can be modified from time to time; the scope of a business can be outline through product planning e.g. the design and number of models, the quality and price range in which the firm can compete favourably and the distribution channel that can facilitate sales.

A product or service is only commercially viable if it satisfies a market demand. Product analysis must be made from the view point of the prospective consumers. A business cannot exist if there is no market for it's product or service. For such, items as camera, radio, cars, etc, the proprietor will note that consumers are interested in performance, size durability and relative price. For a firm to undertake production, it requires the need for identifying the needs of the consumers and select and develop product to satisfy them. This function is achieved through the conduct of market research. Market research provide the firm with the opportunity of identifying the characteristics, needs, incomes habits, attitudes, complains and preferences of present and potential consumers. This again provides the basis for deciding whether and when a new product should be added.

PRODUCT DEFINED

Production can be seen a process by which goods or services are created. The process involves an activity by which a sets of input is converted in to a sets of desired outputs. Ben A.O (2007) has that production includes all activities involved in creating any valuable item whether tangible or intangible for the satisfaction of human needs.

TYPES OF PRODUCTION PROCESS

Production process entails all related activities in which something of value is created. Production process can be simple or complex. Simple production process involves one or more persons making product/services with hand with little or no equipments. E.g. blacksmith, cloth weavers, pottery making etc however complex production involves the use of sophisticated technology e.g. plant and machineries. In most cases, it requires high expenditure on plants and machinery. E.g. car assemble oil refinery, railway route etc. The following are some of the examples of production process.

(a) **Extractive Process**:- This involves extracting substance from the tree, earth or sea. Examples are the extraction of gum Arabic, coal, iron ore or the drilling of petroleum etc.

(b) **Fabricating Process**:- This is the conversion of material from one form to another. Example is the conversion of steel to hoe, cutlass by blacksmith. The process involves cutting, press up and finishing.

(c) **Analytic Process**:- This involves the breaking down of substance in a number of different form e.g. crude oil can be refine in to petroleum and diesel.

PRODUCTION MANAGEMENT

Since management is a continuous process of function in order to keeps the enterprise performing. Production management then is a continuous operation function that involves planning, organizing and controlling the operational process so that the desired product/services attributes are designed and developed. Production planning is the activity of forecasting the future demand for each product and translating the forecast to the requirement of inputs so that the products can be produced without any disruption to meet the target demand.

Production management requires the manager to be conscious with:

a. Production planning
b. Production control
c. Plant layout
d. Quality control
e. Material handling
f. Inventory control and;
g. Work incentives.

(a) **Production Planning**:- Production planning is the process of deciding what to produce, where and when to produce, and how to produce them, it requires the production manager to forecast the future demand for the product and translate the demand to the required inputs.

(b) **Production Control**:- Production control is a managerial function that is concerned with ensuring that the specified production plans and schedules are being met so as to meet the target standard.. Control ensures that, the actual is in conformity with the set standard. Control requires that right materials inputs (plant, raw materials, equipment and capital) are sourced and utilized in line with the budgeted proportions.

(c) **Plant Layout: -** Layout requires the production manager to identify a profitable location for the factory plants and machineries. Plant location requires the consideration for proximity to the sources of plants and equipment as well as other related supplies to the factory site. Decision regarding the factory location required the analysis of the following:

i. Why do people live in the proposed site?
ii. What is their standard of living?
iii. Why are other businesses located in that area?
ii. Is the business activity to the area seasonal?
iii. What is the population of the people in the proposed site?
iv. Is business moving in or moving out of the community of your proposed site?

The production manager needs to understand the effect of these responses on his proposed business.

Factors to be consider in choosing a factory location.

In determining the best location for business, the production manager should understand the population growth rate, changes in customers buying habits, government regulation of business, and availability of infrastructures. Specifically, the following factors require special analysis:

i. The Action of the competitors.
ii. The target population.
iii. Availability of infrastructures.
iv. Prevailing government regulations on business.
v. Proximity to the sources of raw materials and spare parts.
vi. Availability of cheap labour, and,\Proximity to the target market etc.

Facility Layout

There are many factors to consider in determining plant layout. Peter E. (1989) provides the factors to consider in facility layout.

- Type, volume and quality of products to be produced.
- Types of production system to be employed such as batch production flow production etc.
- The types of materials handling system.
- The amount and types of plant flexibility desired.
- Plans for future expansions.
- Availability of space.

- Hazards preventions facilities.
- Sequence of operations and rigidity, and,
- Types of inspection schedule to be used.

Requirements of a Good Facility layout.

Plant layout requires that machines and work stations should be arranged in such a way that operation process can be carried out with maximum efficiency. A good plant layout should be able to eliminate all wastages that are resulted from the material handlings. A facility layout requires the following:

i. Maximum accessibility to the site.
ii. Maximum use of volume space.
iii. Minimum discomfort.
iv. Maximum safety.
v. Visible routes.
vi. Minimum distances between plants.
vii. Maximum visibility.
viii. Maximum ventilation
ix. Maximum flexibility.
x. Minimum material handling.

(d) **Quality Control**:- This requires that the attribute of the product to be produced conform to prescribed standards. In the quality control function, the operation manager must have a realistic knowledge of the plants limitations and must constantly be informed of the total amount of work in progress. These will help to minimize the production of sub-standard products. The essence of quality control is to ensure that products meet certain physical, clerical and performance specification so to appeal to the target customers.

Quality control process requires that inputs must be of acceptable qualities before there are allowed to be used. Materials must meet the appropriate specification namely strength, size, colour, appearance, chemical content and other desirable characteristics. The quality of material inputs and workforce is a key determinant of a successful quality control program of an enterprise.

(e) **Material Handling**:- Is an aspect of the function of an operational manager which is concern with the movement of all materials in a manufacturing situation. Material handling involves the moving, packaging, and storing of items of any form for present or future uses.

Objective of material handling

The following are some of the objectives of material handling.

i. To exercise greater care in the movement of items from one destination to another and in order to achieve fast delivery.

ii. Material handling is aimed at devising a minimal cost of handling through the use of equipments to facilitate efficiency of movement as well as reducing damages along the process.

Types of Handling Equipment:-

The types of equipment to be used in the material handling are determined by the method to be used.

i. Elevators are used in handling equipment that is to be transported vertically. Items to be transported using these medium includes concrete cement, shipment, and blocks etc.

ii. Conveyor such as trucks, railways, planes is used to transport product horizontally. Materials of all form can be transported using these means.

(f) **Work Study**:- Work study is the critical examination of the activities and processes of accomplishing task with a view to find ways of increasing efficiency. It involves, the establishment of a work standard for determining requirement on labour and equipments; the development and application of jobs evaluation schemes, the specification of plants facility layout and the development of procedures for planning and control of work and material usage.

Plant Maintenance:-

To achieve efficiency in the operation process, plants and equipment should be maintain in a condition that would make possible continuous economic production. Functions to be performed in the maintenance process includes:-

- Emergency repairs in the event of plant knockdown.
- Routine inspection of machinery to determine impending breakdowns.
- Schedule overhauls to replace worn out parts.
- Replacement of worn out part to achieve maximum usage.

TYPES OF MAINTENANCE

Basically, there are three ways through which facilities can be kept in good order and the usage depend s on the policy of the enterprise. These are;

(a) Corrective maintenance.
(b) Preventive maintenance
(c) Predictive maintenance.

In the corrective maintenance of the organization, the repairs are made after the equipment is out of order. In these case; the operation manager identify the cause of the problem and make repairs. The corrective maintenance requires a minimum workforce, however, it has the possibility of creating idle time especially when the part to replace or the person to do the repairs is not there.

Preventive maintenance is undertaken before the need for maintenance arises. Such maintenance policy is aimed at minimizing the possibility of unanticipated operation interruption. Preventive maintenance requires that, after paper design of any installation of plants and machineries, periodic inspection need to be ensured. In the process of inspection lubrication and cleaning are done on routine basis that provides safety to both the employees and machines. However, preventive maintenance is costly.

Predictive maintenance involves the use of sensitive instrument such as vibration analyzer, alarm sound audio gauges, temperature and resistance gauges. The use of these instrument help to predict trouble, and precautionary steps are taken.

MEANING OF A PRODUCT

A product is anything that is offered for utility. It is a set of basic attributes assembles in an identifiable form. Features such as brand names, color, size, packaging and design etc. are not just appealing to consumers but rather gives benefits that satisfies their need. Therefore, a product can sum up to main goods, services, places persons, and ideals. A product can be tangible (i.e. physically seen and touched) or intangible (cannot be seen but given satisfaction). Clothes, shoes and internet services are examples of tangible and intangible products.

PRODUCT PLANNING:

Finding new product ideas that can be marketable is very challenging. The marketer needs a formal procedure for seeking new ideas regarding what product/services can be turned to investment opportunity. Product planning entails the decision as to what sort of product lines to produce, when to produce, what method of production system to adopt, which location will be suitable for the operation process and who should be the target customers?

Answers to the above questions provides the proprietor with the idea of what product can be appealing to a particular market as well as the proportion of the resources required to undertake the operation.

NEW PRODUCT DEVELOPMENT PROCESS

Five stages are often considered in developing a new product. (William D. et al, 2003):

1 **Idea Generating**:- New ideas comes from a company's own sales or production staff, middlemen, competitor, consumers survey, or other sources such as trade association, advertising agencies etc. Ideas can be the unsatisfied needs and wants of the society that can be turned to investment opportunity e.g. the demand for student village in a newly established polytechnic.

2 **Idea Screening**:- This involves evaluating the new ideas in terms of strength, weakness, opportunities and threats associated with the idea, the analysis mostly reveals whether the business can be feasible or not.

3 **Idea Evaluation**:- Evaluation of how practical can the ideas be developed to profitable investment. This requires a detail analysis of cost and benefit relationship.

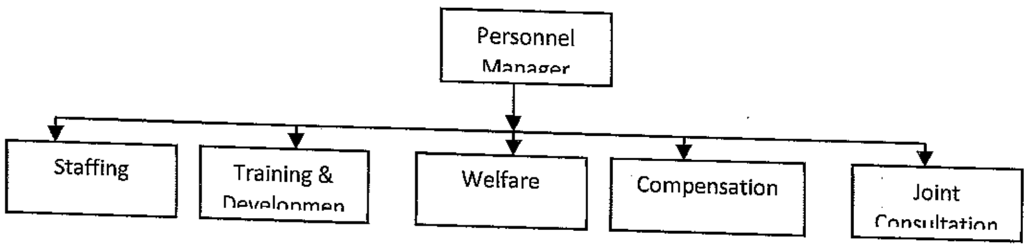
4 **Prototype Development**:- The proprietor having satisfied with the screening and evaluation stage goes in to the physical design and development of the product so as to test the market. The development state requires the identification of the right inputs and the necessary skills to deliver the idea. On developing the actual goods or services, customers can react to how well the product meet heir needs. Sometimes the reaction kills the idea.

In other cases testing the product can lead to revision of product specification for difference. If the product appeals well to the consumers, then the firm goes in to mass production and commercialize.

5 **Commercialization**:- A product that survives all the four stages above can not be put to mass production which will finally be planned at the target market. Viable channels of distribution need to be identified. Promotional strategies need to be effected to facilitate customers' awareness of the existence of the product. More research and development need to embark upon to protect the product from stiff competition and in order to achieve long product life cycle.

PERSONNEL FUNCTION

Personnel refer to all categories of people that are engaged in a paid employment. Plant and machineries does not work alone. Human beings must work on them to get operations done. Personnel function refers to all those related activities that can lead to sourcing and placing workers in the appropriate job post so as to have a match between the applicant skills and the job requirements. The first stage of the personnel functions is to identify the need for personnel through the analysis of the enterprise job contents. To obtain personnel with the required skills requires the use of wide variety of personnel sourcing proper screening and testing is to be used to ensure a match between the applicant talent and the job contents. The table below depicts the general personnel management functions:



The Personnel Management Function:

FINANCE FUNCTION

An entrepreneur requires money and other resources to establish business and manage it to profitability. Records of transactions, such as daily procurements, salaries and wages as well as overhead costs must be recorded and analyzed for decision making purposes. Sales made must be accounted for as that determines the growth of the business. Therefore, of concern to the business proprietor is the financial decision making.

MEANING OF FINANCIAL MANAGEMENT

Finance refers to money used to carry out a business or non-business activity. Enterprise requires money to meet daily payments, to meet unforeseen happening and for speculative investments in securities and assets. Thus, for an enterprise to exist and function there must be structures and resources, which is acquired using money.

Financial management is defined as the art, science or system of dealing in the acquisition, controlling or managing money and credit of an organization. It is mainly concern with the act of sourcing and efficient usage of money so as to accomplish a given task. Financial management functions involve activities such as:-

i. **Determining a firm's financial needs**: this calls for an examination of the nature of activities to be carried out to accomplish a set goal. In this process methods and procedures needs to be identified, machines equipment and raw materials need to be classified and market price determined.

ii. **Identifying the various sources of financing**:- These requires the identification of the various forms of financing as well as the advantages and disadvantages of each. Common sources of financing an enterprise include: equity and debt financing.

iii. **Procuring the needed funds**:- This involves the choosing of the mode of financing and the actual acquisition, taking in to consideration the costs and benefits as well as the risk involved.

iv. **Efficient and effective use of the funds**:- The judicious usage of a firms finance determine it's success or failure. Funds need to be tight to specific activities to achieve desired operations and thus facilitating the achievement of set goals.

CRETARIA FOR SELECTING SOURCES OF FUNDS

The best source of fund is that which provide good returns to share holder and at a minimum costs. The decision to chose a source of financing an enterprise need to be based on the following criteria.

i. **The costs of obtaining the fund**:- This is commonly known as the interest charged on the sum of money to be borrowed.

ii. **The repayment period of principal and interest**:- The maturity date for the loan repayments need to considered when borrowing. Long term investment is to be financed by loan term debt. Equally short term investment needs to be finance by short term loan. Mismatch often leads to either surplus funds or deficit financing which the resultant effect is a loss to the business proprietor.

iii. **The future restrictions involved**: Some loans are tied to condition. Such restriction may involve restricting the proprietor from other borrowings or entering in contract for certain operations.

iv. **The risk involved from the borrowing**:- Company policy or trends in the economy may force the lending firms to withdraw all or part of its financing.

THE ROLE OF PERSONAL SAVINGS IN FINANCING INVESTMENTS

Personal saving constitutes personal resources used to finance investments. It is money saved through cooperative contributions or money saved with the bank over a period of time. It is a common source of financing sole proprietor ship and partnership business. Personal savings provide the following benefits to the proprietor:

i. Personal savings serves as a basis of the proprietor's division making as where, when, why and how to invest.
ii. Personal savings provide easy access to start up a capital; more especially in small scale business start up.
iii. Personal savings provide free costs of capital as no interest payment is attached to it.
iv. Personal savings enables the business proprietor to maximize the business profit within the short period of operation.
v. Personal savings ensure that the proprietor retains ultimate control of the business viz planning, organizing and decision making.

Sources of personal saving include the following:-

(a) Weekly or monthly contributions through cooperative group efforts.
(b) Saving from disposal income such as salaries, sales of farm harvest and income.
(c) Retain earnings saved for reinvestment.
(d) Savings from sales of property such as estate.

PORTFOLIO INVESTMENT MANAGEMENT

Portfolio investment represent passive holding of securities such as foreign stocks. Bonds or other financial assets, non of which entails active management or control of the securities issue by the investor. Where such control, exists it is known as foreign direct investments. Some examples of portfolio investments are.

- Purchase of a share in a company.
- Purchase of bonds issued by the government.
- Acquisition of assets.

SOURCES OF FINANCE:

The market for finance include the unit banks, trust companies, stock brokers, investment and venture capital companies and pension funds etc. The decision regarding the selection of sources of financing will depend on the nature of the investments. Short term investment is to finance by short term funds. The table below shows the common sources of financing an enterprise.

(a) **Equity Funds**

Equity is money contributed by the owner(s) of business. Equity holders are also refers to as shareholders. Equity is raised from the public through offers. A company wishing to raise capital for investment can do so by compiling prospectus, accompanied by advertisement and an invitation to buy shares. There are two forms of equity holding in a business.

i. **Ordinary Shares**:- An ordinary share is a fixed unit of ownership of funds in the business. It provides the holder with the opportunity of having a share of profit or loss made. In most case, ordinary shares holders are strict owners of the business and they exercise high degree of control.

ii. **Preference Shares**:- Holder of preference shares have preferential right to receive dividends if the business makes profit. In the case of winding up of the business the preference shareholders must be paid first before the ordinary share holders are paid. The preference share holder receives fixed percentage of dividend. The dividends accrued to the preference shareholder can be accumulated and payment can be deferred especially when the business did not record good profit.

(a) Retained Profit

This is part of profit that is ploughed back in to the business. Normally two decisions are made relating to the net profit received by a firm. One of the decisions is to share the profit among the shareholders and secondly to re-invest the profit to add up to the working capital. Retained profit help in making capital sufficient for business expansion.

(a) **Borrowing**

Borrowing is another method of raising money by firms to either finance or diversifies operations. Borrowing is an obligation to collect and use a material for a specified period of time after which such material is to be refunded with or without charges. If refund is not complied with, the lender can seek for legal redress in order to recover the borrowed items including the charges. There are two common forms of borrowing used by investors to raise capital.

i. **Loans**:- Loans are money borrowed from financial institution which specializes in lending loans have an obligation of repayment with accrued charges known as interest. Loans can be of short term or long term maturity date.

ii. **Debentures**:- A debenture is a debt owed by a company which attract a fixed rate of interest and which specifies the end of the repayment period. A debenture holder is not an owner of a company but a creditor.

iii. **Overdraft**:- Overdraft is also another sources of financing short term investment. Under this arrangement, the borrower (Customer to the bank) is allowed to overdraw more than the money in his account. Interest is to be charged on the outstanding overdrawn balance on daily basis. The maturity date for overdraft is one month subject to renewal

(b). Leasing.

Another way of financing a business is through leasing. Under leasing arrangement, companies will gain the use of an asset with out having the pay for it. The lease will use the assets and make regular payment to the leaser who owns it. Leasing provides the benefit for firm to have the complete usage of assets without having to use risk or loan capital to finance it. However, t also enables the business to charge their equipment frequently and keep up to date with modern technology. In leasing even though the lessee has access to the use of the equipment/assets on making a specified payment, however, the lessee does not possess ownership

(b) Trade Credit

Trade credit is a form of financing where a business received credit supplies and payment is to be made at a later date. In this arrangement, the supplier makes supply and delivers the invoice to the buyer. The invoice specifies the descriptions and quantities of the items so supplied.